3

Diving Deeper: Taking a Look at More Complex Securities

IN THIS PART . . .

Understand the role of investment companies in helping investors diversify their portfolios.

Become versed in limited partnerships — their formation, function, structure, tax advantages, and tax disadvantages.

Examine direct participation programs (DPPs) and real-estate investment trusts (REITs).

Get to know options — investment vehicles that allow investors to buy and sell securities at a fixed price.

IN THIS CHAPTER

» Taking advantage of management investment companies

» Understanding face-amount certificate companies and UITs

» Looking at annuities

» Taking a brief look at life insurance

» Checking your knowledge

Chapter 9
Delivering Diversification with Packaged Securities

Diversification is key when you're helping customers set up a portfolio of securities, and it's fairly easy when your customer has a good deal of money to invest. But what if an investor has limited resources? Certainly, such investors can't afford to buy hundreds of shares and/or debt securities of several companies, and you don't want to limit your customer to only one investment opportunity (heaven forbid it should go belly up). Packaged securities to the rescue! These securities, such as open-end funds, closed-end funds, face-amount certificate companies, unit investment trusts, and annuities, offer variety within one security by investing a customer's money in a diversified pool of securities — for a cost, of course. A bit of profit-driven teamwork can ensure your customers' investments are much safer than, say, investing in a one-armed bandit in one of the Vegas casinos.

In this chapter, I cover topics relating to investment companies and annuities. Open-end (mutual) funds and closed-end funds are only the beginning. I discuss face-amount certificate companies and trusts such as unit investment trusts. I also give you a look at life insurance products and wrap it all up by giving you a small quiz at the end of the chapter.

Looking at Investment Company Registration

As with other nonexempt securities, investment companies must register with the U.S. Securities and Exchange Commission (SEC). You need to understand certain specifics about the registration process when taking the SIE. When registering with the SEC, investment companies must disclose

» Whether the investment company will be open- or closed-end

» The names and addresses of affiliated people

- Whether the company plans to raise money by borrowing
- Whether they plan on investing in commodities or real estate
- How they plan on investing (a single industry, many industries, debt securities, and so on)
- Conditions under which the investment plan can change (a vote of shareholders, for example)
- The business experience of each director and officer

Diversifying through Management Investment Companies

In general, investment companies are those whose business is investing in securities. As such, they take the money received from investors and invest in a large number of different securities. Each investor shares in the profits or losses based on their interest in the investment company. The Investment Company Act of 1940 divides investment companies into three main types: management investment companies, face-amount certificate companies, and unit investment trusts. This section focuses on management investment companies, which are the more heavily tested areas of this chapter. I cover the other types in the aptly named "Considering Other Investment Company Options" section later.

Management companies are by far the most familiar type of investment company. The securities held by the management companies tend to be actively managed by portfolio managers, although they might be passive where a portfolio manager makes the initial choices but doesn't actively trade the account. As a subclassification of management companies, they are either *diversified* or *nondiversified*. To be diversified, a company must spread out at least 75 percent of its assets in the following way:

- The management company can't own more than 10 percent of the outstanding shares of a company.
- No more than 5 percent of the management company's money can be invested in one company's securities. However, through appreciation, one company may grow to more than 5 percent, which is fine, but the fund may not purchase any more of that company's securities unless it drops below 5 percent.

REMEMBER

Because the diversified portion relates to only 75 percent of the management company's assets, the other 25 percent can be invested in any way. Whether the management company is diversified or nondiversified must be in the prospectus.

Comparing open- and closed-end funds

Management companies are either open-end or closed-end funds. Make sure that you know the difference.

Open-end (mutual) funds

An *open-end fund* is more commonly known as a *mutual fund*. Like closed-end funds, mutual funds invest in many different securities to provide diversification for investors. The key difference is that mutual funds are constantly issuing and redeeming shares (shares are redeemed with the issuer and not sold in the market), which provides liquidity for investors. Because open-end fund shares are continuous offerings of new shares, a mutual fund prospectus must always be available. You need to understand the makings of the net asset value and the public offering price when taking the SIE exam:

- **Net asset value (NAV):** Fortunately, the NAV or net asset value per share is determined the same way for both open- and closed-end funds: by dividing the value of the securities held by the fund by the number of shares outstanding. With open-end funds, however, the NAV is the bid price. When investors redeem shares of a mutual fund, they receive the next computed NAV (usually at the end of the day). This is also known as the *redemption value*. Mutual funds can never trade below the NAV.
- **Public offering price (POP):** For mutual funds, the public offering price (the ask price) is the NAV plus a sales charge. If a mutual fund doesn't charge a sales charge, it's called a *no-load fund.*

REMEMBER

Because mutual funds are new issues, investors must receive a statutory prospectus (for more on what a prospectus is, see Chapter 5) and/or receive a *summary prospectus* and have access to the statutory prospectus. Prospectuses for mutual funds include their holdings, investment strategy, fees, expenses, graphs of the fund's performance, and so on. Every prospectus for every security must contain a disclosure stating that the SEC doesn't approve of the issue. I assume that this disclosure is the SEC's way of not being sued if investors lose money. The SEC just clears the issue for sale to investors.

If the fund provides a summary prospectus, it must include items such as the fund's name and ticker symbol, the class of shares, the fund's investment strategies, investment objectives, costs of investing, investment advisers, financial compensation, risks, and performance. The summary prospectus may include an application that investors can use to purchase shares. Potential investors can also request a full prospectus before investing. If an investor purchases via a summary prospectus, they must either receive or be provided online access to a full prospectus.

On an ongoing basis, funds must include in their prospectus annual report graphs comparing the performance of the fund with a proper index (Standard & Poor's [S&P] 500, Nasdaq composite, and so on), items and/or strategies that may have affected the performance in the past year, and the name of the fund's manager.

Note: Expenses of a mutual fund include salaries for the board of directors; management (investment adviser) fees for the person or people who make the investment decisions for the fund; custodial fees for safeguarding assets (cash, securities, and so on) held by the fund; transfer agent fees for keeping track of investors, sending distributions, and sending proxies; and 12b-1 fees, if any. *12b-1 fees* are fees paid by a mutual fund out of the fund assets to cover promotional expenses such as advertising, printing and mailing of prospectuses to new investors, and so on. If there are 12b-1 fees, they must be included in the prospectus.

Closed-end funds

Unlike open-end funds, closed-end funds have a fixed number of shares outstanding (hence the word *closed*). Closed-end funds act more like common stock than open-end funds because they issue new shares to the public; after that, the shares are bought and sold in the market. Because they trade in the market, they're often called *publicly traded funds*. Although the net asset value of closed-end and open-end funds is calculated the same way, the public offering price is determined a little differently:

- **NAV:** The NAV or net asset value per share is the parity price at which the fund should be trading. You determine it by taking all of the assets owned by the fund, subtracting the liabilities, and dividing by the number of shares outstanding. Closed-end funds may trade at a discount or premium compared to the NAV — based on supply and demand.

- **Public offering price (POP):** For closed-end funds, after the initial public offering (IPO) the public offering price (the ask price) depends not only on the NAV but also supply and demand for the issue. Investors of closed-end funds pay the POP (current market price) *plus* a broker's commission in an agency transaction.

Note: Although closed-end funds aren't purchased from and redeemed with the issuer, most offer a high degree of liquidity, based on the number of shares. After the initial offering, they can be purchased or sold either on an exchange (called exchange traded funds or ETFs) or over the counter (OTC).

Open and closed: Focusing on their differences

You can expect at least a question or two on the SIE exam relating to investment companies to test you on the differences between open-end and closed-end funds. Table 9-1 should help you zone in on the major distinctions.

TABLE 9-1 Comparing Open-End and Closed-End Funds

Category	Closed-End	Open-End
Capitalization	One-time offering of securities (fixed number of shares outstanding).	Continuous offering of new shares (no fixed number of shares outstanding).
Pricing the fund	Investors purchase at the current market value (POP) plus a commission.	Investors purchase at the NAV plus a sales charge.
Issues	Common stock, preferred stock, and debt securities.	Common stock only.
Shares purchased	Shares can be purchased in full only.	Shares can be purchased in full or fractions (up to three decimal places).
Purchased and sold	Initial public offerings (IPOs) go through underwriters; after that, investors purchase and sell shares either over-the-counter or on an exchange (no redemption).	Shares are sold and redeemed by the fund only.

REMEMBER

The key difference between open-end and closed-end funds is the method of capitalization. An open-end (mutual) fund is a continuous offering of new securities, whereas a closed-end fund is a one-time offering of new securities.

Keeping your customer's investment objectives in mind

Unlike investors in face-amount certificate companies and unit investment trusts (see "Considering Other Investment Company Options" later in this chapter), investors of open-end and closed-end funds have many choices available. Investors may be looking for safety, growth, a combination, and so on. This section gives you a glimpse into those investment choices.

REMEMBER

The single most important consideration for customers who invest in packaged securities is the fund's investment objectives. This feature surpasses even the sales charge or management fees. If you become a registered rep, one of your primary jobs will be to help investors decide which type of fund would be best for them. The test designers want to know you can handle that job.

Comparing like-type funds is secondary. So, without further ado, here are the major types (although variables within each fund can make a fund riskier or safer, I've placed the list in the normal order from safest to riskiest):

- **Money market fund:** This fund (as you've probably guessed) invests in money market instruments (short-term debt securities). You need to know the specifics of this fund more than other types of funds. Here are the key points:
  - It usually provides a check-writing feature (you're given a checkbook) as a way of redeeming shares.
  - It's always no-load (there's no sales charge).
  - It computes dividends daily and credits them monthly.
  - There's no penalty for early redemption.
- **Income fund:** The primary objective of an income fund is to provide current revenue (not growth) for investors. This type of fund invests most of its assets in a diversified portfolio of (a) debt securities that pay interest and in preferred and (b) common stock of companies that are known to pay consistent dividends in cash.

  REMEMBER

  Income funds are considered much safer (more conservative) investments than growth funds. You can assume for SIE exam (and real-life) purposes that income funds are better investment choices for retirees and investors who are looking for a steady cash flow without much risk.
- **Balanced fund:** A balanced fund is a combination of a growth fund and an income fund. Balanced funds invest in common stocks, preferred stocks, long-term bonds, and short-term bonds, aiming to provide both income and capital appreciation while minimizing risk. These funds don't get hammered too badly when the market is bearish but usually underperform when the market is bullish.
- **Growth fund:** This fund is exactly what you'd expect it to be; growth funds invest most of their assets in a diversified portfolio of the common stock of relatively new and existing companies, looking for big increases in the stock prices. Growth funds offer a higher potential for growth but usually at a higher risk for the investor. This type of fund is ideal for an investor who's looking for long-term capital appreciation potential.

  REMEMBER

  Because of the inherent risk of investing in growth funds, they're better for younger investors who can take the risk because they have more time to recover their losses.

  Some growth funds are labeled as *aggressive growth funds* because the securities it invests in are even riskier than those of a standard growth fund.
- **Specialized (sector) fund:** A specialized or sector fund is a type of fund that invests primarily in the securities of a single industry. A specialized fund may invest only in financial services, healthcare, automotive stocks, technology securities, and so on. Because specialized funds are limited in their investments, you can assume that in many cases, they're a little riskier (more volatile) than the average fund.
- **International or global fund:** An international fund invests in companies based anywhere outside of the investor's home country. A global fund invests in securities located anywhere in the world, including the investor's home country. Although international and global funds may be good to round out a portfolio, they aren't without their risks. Along with the risk that investors face by just investing in securities in general, holders of international and global funds also face currency risk, which is the risk that the currency exchange rate between the U.S. and foreign issuers will hurt investors. There's also the additional risk that politics in a particular country will harm the value of the fund.

- **Index fund:** This type of fund invests in securities that are similar to a particular stock or bond index. Rather than being actively managed, these types of funds are passively managed, which means investors can expect lower or no management fees. Investors can expect that the NAV of the fund will increase or decrease based on the movement of the benchmark index (S&P 500, DJIA, and so on) the fund mimics.

Hedge funds: What are they?

You've probably heard about hedge funds but aren't exactly sure what they are. For the SIE exam, you do need to know a little bit about them. Because they aren't open- or closed-end funds, unit investment trusts, or face-amount certificate companies, they are an exception to the standard definition of investment company under the Investment Company Act of 1940. In addition, because they are considered *private* equity and are *only* open to sophisticated (accredited) investors, they are exempt from SEC registration. Hedge funds often require a very high initial investment — sometimes $500,000 or more.

Hedge funds hold a pool of investments and are professionally managed like mutual (open-end) funds but have a lot more flexibility. Hedge funds are typically much more aggressive in nature and may buy securities on margin, sell securities short, purchase or sell options, and so on in an attempt to maximize gains. I guess you can almost think of them as a "whatever it takes to make money" type of fund.

TIP

Don't let the variety of funds distract you too much. So many different funds are out there that the choices could drive you crazy. I list the main types, but funds can invest by objective (as previously listed) or composition, such as with foreign stock funds (which invest in foreign securities), tax-exempt funds (which invest in municipal bonds), U.S. government funds, and so on. The composition of the fund should help you match it with your customer's objectives. A customer primarily looking for safety and income might invest in a U.S. government bond fund.

Dealing with discounts

Investors who have the extra funds available may be able to receive a reduced sales charge for large dollar purchases. Breakpoints (see the next sections) and the letter of intent (see the next sections) are available to investors of open-end funds and unit investment trusts. Because closed-end funds, after the initial offering, are traded in the market, investors do not receive breakpoints. Dollar cost averaging and fixed share averaging are most often used for open-end fund purchases but may apply to other investments as well.

FUND OF A FUND

A fund of funds is a fund that invests in other funds, as opposed to individual securities. Many funds are actually funds of funds, such as funds of hedge funds and *life-cycle funds*. Life-cycle funds are also called *targeted* or *age-based* funds. The idea behind life-cycle funds is to automatically adjust the composition of the fund so that investors take less risk as they get older. Typically, younger investors can afford to take more financial risk and, therefore, invest a larger percentage of their portfolio in equity securities and a lesser percentage in fixed-income securities. As investors grow older, the percentages should change so that a larger percentage of the portfolio is in fixed-income securities and a lesser percentage is in equity securities. Life-cycle funds are set up with targeted retirement dates. Investors choose the life-cycle fund that matches their retirement date, and the fund adjusts its holdings occasionally so that equity funds gradually decrease and funds that invest in fixed-income securities gradually increase.

Breakpoints

Funds have an investment adviser (portfolio manager) who gets paid a percentage of the value of the securities held in the fund. Therefore, one way to entice investors to spend more is to reduce the sales charge when they spend a certain minimum amount of money. That's where the breakpoint comes in.

Management investment companies divide purchase amounts into different tiers. Within a certain range, investors all pay the same sales charge percentage. But when investors spend and/or the account grows enough to put them in the next tier (when they hit the *breakpoint*), they get a reduced percentage sales charge. Breakpoints have no set schedule, so they vary from fund to fund.

Another discount, *rights of accumulation (ROA)*, allows shareholders to receive a reduced sales charge when the amount of the funds held (based on their current price, not purchase price) plus the amount purchased is enough to reach a breakpoint. There is no time limit for rights of accumulation.

Here are a few key points for you to remember for the SIE exam:

- Breakpoints must be disclosed in the prospectus.
- Breakpoints aren't available to partnerships or *investment clubs* (several people pooling money to receive reduced sales charges).
- Breakpoints are generally available to individual investors, joint accounts with family members, UGMA accounts, and corporations.

Breakpoint sales

As an agent, you're responsible for letting investors know about the existence of breakpoints. A *breakpoint sale* occurs when you induce a sale just below the level where an investor would receive a breakpoint or an additional sales discount. As shown in Table 9-2, you would make more money if a client purchased $23,000 worth of a fund instead of $25,000 because of the discounted sales charge the customer would receive at $25,000. It's your responsibility to let the client know that by investing $2,000 more, they can reach a breakpoint. Not disclosing breakpoints and inducing sales just below breakpoints are violations.

TABLE 9-2 Breakpoints for AylDec Growth Fund

Purchase Amount	Sales Charge
$1–$24,999	5%
$25,000–$49,999	3%
$50,000–$99,999	2%
$100,000 and up	1.5%

Letters of intent

A *letter of intent* (LOI) signed by an investor allows them to receive a breakpoint (quantity discount) right away with the initial purchase, even if the investor hasn't yet deposited enough money to achieve the breakpoint. This document states that as long as the investor deposits enough within a 13-month period, they will receive the discounted sales charge right away.

Here are a few specifics about the letter of intent that you need to know for the SIE:

- The investor has *13 months* after the first deposit to live up to the terms of the letter of intent in order to maintain the reduced sales charge.
- The LOI may be *backdated for up to 90 days,* meaning that it may apply to a previous purchase. However, remember that if the LOI applies to a previous purchase, the 13-month period starts from the date of that previous transaction.
- While the investor is under the letter of intent, shares are held in escrow to pay for the difference in the sales charge. If the investor doesn't live up to the terms of the obligation, the fund sells the shares held in escrow.

Here's how a letter of intent may work. Suppose that Mr. Smith purchased $10,000 worth of AylDec Growth Fund two months ago and is investing another $10,000 into the fund right now. Mr. Smith believes that he'll keep investing in AylDec Growth Fund and would like to get a reduced sales charge for investments of $25,000 and up (see Table 9-2 for the breakpoints).

Mr. Smith signs a LOI and wants to apply it to his previous purchase. Because his previous purchase was two months ago, Mr. Smith has only another 11 months to invest the remaining $5,000 into AylDec Growth Fund. Mr. Smith will receive the 3 percent sales charge on his $10,000 investment right now, which will be reduced by the overage he paid on the initial investment of $20,000. In other words, he'll pay only $100 sales charge on the current investment ($300 for this transaction minus the $200 overpaid from the previous investment) when he invests the $10,000. As long as Mr. Smith deposits the additional $5,000 by the end of the LOI's timeframe, he'll pay the 3 percent sales charge. However, if Mr. Smith doesn't live up to the terms of the agreement, AylDec Growth Fund will sell the shares held in escrow to pay for the difference in the sales charge.

REMEMBER

Investors may redeem their shares at any time, even if they're under a LOI.

Figuring the sales charge and public offering price of open-end funds

You need to know two basic formulas to determine the sales charge and public offering price of open-end funds. Yes, every chapter seems to have more formulas, but these formulas are pretty straightforward and shouldn't cause you too many sleepless nights.

Sales charge percent

The sales charge, which is set at a maximum of 8½ percent, is part of the public offering price (POP), or ask price, not something tacked on afterward like a sales tax. One of the tricks for calculating the sales charge (or *load*) for open-end funds is remembering that the POP equals 100 percent. Therefore, if the sales charge is 8 percent, the NAV is 92 percent of the POP. The formula for determining the sales charge percentage is as follows:

$$\text{sales charge} = \frac{\text{ask} - \text{bid}}{\text{ask}} = \frac{\text{POP} - \text{NAV}}{\text{POP}}$$

The following question tests your expertise in calculating the sales charge of a mutual fund.

EXAMPLE

ABC Aggressive Growth Fund has a net asset value of $9.60 and a public offering price of $10.00. What is the sales charge percent?

(A) 3.4 percent

(B) 3.75 percent

(C) 4 percent

(D) 4.35 percent

The right answer is (C). The first thing you have to do is set up the equation. Start with the POP of $10.00 and subtract the NAV of $9.60 to get $0.40. Next, divide the $0.40 by the POP of $10.00 to get the sales charge of 4 percent:

$$\text{sales charge} = \frac{\text{POP} - \text{NAV}}{\text{POP}} = \frac{\$10.00 - \$9.60}{\$10.00} = \frac{\$0.40}{\$10.00} = 4\%$$

TIP

To help you remember that the ask (offer) price of a fund is the same as the POP, remember to ask your POP about it.

Public offering price (POP)

When taking the SIE exam, you may be asked to figure out the POP of a mutual fund when you're given only the sales charge percent and the NAV.

REMEMBER

The sales charge is already part of the POP, so the sales charge is *not* equal to the sales charge percent times the NAV. Use the following formula to figure out how much an investor has to pay to buy shares of the fund when you know only the NAV and the sales charge percentage:

$$\text{public offering price} = \frac{\text{net asset value}}{100\% - \text{sales charge}}$$

Classifying the load

As I explain earlier in this chapter, most mutual funds charge a sales charge (also known as a *load*) that's built into the POP. Most charge up front, but some charge constantly; some charge when redeeming; and some don't charge a load at all. Depending on how investors are charged, mutual funds are broken into classes:

- **Class A (front-end load):** The investor pays the load when purchasing shares of the fund. These funds typically are better for long-term investors because they usually have lower expense ratios, and they have breakpoints for large dollar purchases.
- **Class B (back-end load):** The investor pays the load when redeeming shares of the fund. These funds have higher expense ratios than Class A but often convert to Class A if held for many years. Very few mutual fund companies offer Class B shares at this point.
- **Class C (level load):** The investors pay a periodic fee (usually, annually) over the time period that they hold the fund. These funds have higher expense ratios than Class A and have an exit fee, which is often eliminated after a year or two. These funds typically are the best option for short-term investors.
- **No-load:** Investors don't pay a sales charge but may be charged some sort of transaction fee. Unlike load mutual funds, no-load funds may not charge a 12b-1 fee greater than 25 basis points.

Considering Other Investment Company Options

A couple of other types of investment companies — face-amount certificate companies and unit investment trusts (UITs) — aren't as popular as they used to be. Unfortunately, even though you may never sell any, you do need to know them for the SIE exam. You probably won't see more than a question or two on these topics. But exchange-traded funds (ETFs) are becoming increasingly popular, so your chance of seeing a question on ETFs and/or inverse ETFs is pretty high.

Face-amount certificate companies

A *face-amount certificate* is a type of packaged security that's similar to a zero-coupon bond (see Chapter 7); investors make either a lump-sum payment or periodic payments in return for a larger future payment. The issuer of a face-amount certificate guarantees payment of the face amount (a fixed sum) to the investor at a preset date. Very few face-amount certificate companies are around today, which is why the SIE exam doesn't include many questions about this type of packaged security.

Unit investment trusts

A *unit investment trust* (UIT) is a registered investment company that purchases a fixed (unmanaged) portfolio of income-producing securities (typically, bonds) and holds them in trust, which means that a UIT acts as a holding company for its investors. Then the company issues redeemable shares (units) that represent investors' interest in the trust. Unlike mutual funds, UITs are set up for a specific period of time and have a set termination date. Any capital gains, interest, and/or dividends are passed on to shareholders at regular intervals.

UITs have a finite number of shares outstanding and are distributed in the primary market at the initial public offering (IPO) price. Because a limited number of shares are outstanding and must be redeemed with the issuer or sponsor, liquidity is very limited.

Like mutual (open-end) funds, UITs can be purchased by type, such as growth, income, balanced, international, and so forth.

Here are the two main categories of these trusts that you should be familiar with for the exam:

- **Fixed investment trusts:** These companies invest in a portfolio of debt securities, and the trust terminates when all the bonds in the portfolio mature.
- **Participating trusts:** These companies invest in shares of mutual funds. The mutual funds that the trust holds don't change, but the securities held by the underlying mutual funds do.

REMEMBER

Because the portfolio of securities is fixed, UITs don't employ investment advisers and, therefore, have no investment adviser fees during the life of the trust. Nice break!

Exchange-traded products (funds and notes)

Exchange-traded products (ETPs), which you're likely to encounter on the exam, include ETFs and exchange-traded notes (ETNs). ETPs are considered to be alternatives to investing in mutual funds; they not only provide diversification, like mutual funds but can also be sold short and purchased on margin. Investors should be aware, however, that they'll typically be charged a commission for buying and selling ETPs, which can really cut into any potential profits.

REMEMBER

Most ETFs are *passive,* meaning that they're designed to be a single security that tracks certain indices such as the S&P 500, the S&P 100, the Dow Jones Industrial Average (DJIA), Nasdaq securities, and so on. Some ETFs are *active,* meaning that the securities they hold may change. Quite often, ETFs are designed to mirror securities held by certain mutual funds.

Exchange-traded funds

Exchange-traded funds (ETFs) are typically registered as open-end funds but act more like closed-end funds. They either passively track an index or other benchmark or are actively managed. ETFs, as the name implies are actively traded on an exchange. ETFs provide investors with diversification along with ease of trading, the ability to sell short, and purchase shares on margin. Although ETFs can include investments across many asset classes, their main focus is on stocks (equity funds) and bonds (bond funds).

Inverse ETFs (also known as *short ETFs* or *bear ETFs*) are exchange-traded funds that are designed using many derivative products (options, for example) to attempt to profit from a decline in the value of the underlying index (the S&P 500, for example). Inverse ETFs can be used to profit from a decline in a broad market index or in a specific sector, such as the energy or financial sectors.

REMEMBER

When compared to mutual funds, ETFs have some distinct advantages, including the ability to purchase shares on margin, ease of trading, and lower operating costs. Mutual funds have *forward pricing* — meaning that purchases or redemptions take place at the next computed public offering price (POP) or net asset value (NAV) — but ETFs can be traded any time throughout the day at the current bid or ask price.

A couple of disadvantages exist when comparing ETFs to mutual funds: Investors are typically charged commissions when buying and selling and, because they are so easy to trade, investors are more likely to trade excessively instead of holding their positions. (There are some commission-free ETFs but they usually have higher expense ratios.)

Leveraged ETFs are designed to attempt to return a *multiple* of the daily return of a benchmark index (the S&P 500, for example) that it tracks. (Think *multiplication* as in 2 times the daily return or 3 times the daily return.) Most leveraged and inverse ETFs are designed to achieve their objectives on a daily basis, which means that the securities held by the fund are changed more often than other funds.

Note: Because of the risk of inverse ETFs and leveraged ETFs, they are not long- or intermediate-term investments. In addition, because of the risk of these investments, it has to be determined by the firm if a customer is suitable for these investments prior to a recommendation. If a firm determines that a particular leveraged ETF or inverse ETF is suitable for recommendation, they have to determine which customers are suitable.

Exchange-traded notes

ETNs have characteristics of ETFs and fixed-income securities. ETNs are unsecured debt securities issued by a bank or financial institution. Their return is linked to a particular market index. ETNs don't provide dividends or coupon payments, so investors receive income at a specified maturity date. Because ETNs are traded on an exchange, they may be purchased on margin or sold short. If an investor holds an ETN until the maturity date, the investor receives a principal amount based on the performance of the index the note is tracking. Because ETNs are debt securities, they would be negatively impacted if the issuer's credit rating is downgraded. ETNs are not suitable for all investors because they're typically quite complex and carry many risks.

Investment company rules 17a-6 and 17a-7

There are certain additional rules for affiliated persons, advisers, officers, and/or directors of investment companies — specifically Rules 17a-6 and 17a-7. Please note the following important points.

- According to *Rule 17a-6*, affiliated persons of investment companies (persons affiliated with the manager of the fund, the custodian bank, and owners of 5 percent or more of the outstanding shares of the fund) are not allowed to trade securities within the fund's portfolio of securities. However, affiliated persons are certainly allowed to buy and redeem shares of the fund like regular public investors.
- *Rule 17a-7* says that advisers, officers, or directors may trade securities held by funds within the same family of funds (for example, trading securities held from the portfolio of securities of one of Fidelity's Large Value Funds to one of Fidelity's Large Blend Funds or vice versa).

REMEMBER

As with other securities, all investment company advertisements released by a broker-dealer must be approved by a registered principal of the firm.

Adding Annuities to a Portfolio

Annuities are similar to mutual funds, except annuities are designed to provide supplemental retirement income for investors and are typically more expensive than mutual funds. Life insurance companies issue annuities, and these investments provide guaranteed payments for the life of the holder. The SIE exam tests you on the two basic types of annuities: fixed and variable. Because variable annuities are considered securities and fixed annuities are not (because of the guaranteed payout by the insurance company), most of the annuity questions on the SIE exam are about variable annuities.

REMEMBER

Gather very specific information about your client before making recommendations. In addition, before recommending annuities, make sure you really understand the ins and outs and know what you're talking about. Annuities have been under the watchful eye of state insurance commissions and the SEC due to inappropriate recommendations from some brokers. Annuities typically aren't recommended for younger clients (most annuity purchasers are older than 50), for clients older than 75, or for a client's entire investment portfolio. For information on portfolio and securities analysis, see Chapter 13.

Looking at fixed annuities

The main thing for you to remember about *fixed annuities* is that they have fixed rates of return that the issuer guarantees. Investors pay money into fixed annuities, and the money is deposited into the insurance company's general account. After the investor starts receiving payments from the fixed annuity (usually monthly), the payments remain the same for the remainder of the investor's life. Because of the guaranteed payout, fixed annuities are *not* considered securities and, therefore, are exempt from SEC registration requirements and from the Investment Company Act of 1940. Therefore, whereas sellers of fixed annuities must have an appropriate insurance license, a securities license is not required.

REMEMBER

Because the payouts associated with a fixed annuity remain the same, they're subject to *purchasing power risk* (the risk that the investment won't keep up with inflation). An investor who received payments of $1,000 per month in the 1970s may have been able to survive; however, that amount today is not even likely to pay your monthly grocery bill.

Focusing on variable annuities

Insurance companies introduced variable annuities as a way to keep pace with (or hopefully exceed) inflation. In a fixed annuity, the insurance company bears the investment risk; however, in a variable annuity, the investment risk is borne by the investor. Because the investors assume the investment risk, variable annuities are considered securities and must be registered with the SEC. All variable annuities have to be sold with a prospectus, and only individuals who hold appropriate securities and insurance licenses can sell them.

The money that investors deposit is held in a *separate account* (separate from the insurance company's other business) because the money is invested differently. The separate account is invested in securities such as common stock, bonds, mutual funds, and so on, with the hope that the investments will keep pace with or exceed the inflation rate.

The *assumed interest rate* (AIR) is a projection of the performance of the securities in the separate account over the life of the variable annuity contract. If the assumed interest rate is 4 percent and the performance of the securities in the separate account is equal to 4 percent, the investor receives the payouts that they expect. However, if the securities outperform the AIR, the investor receives higher payouts than expected. And unfortunately, if the securities held in the separate account underperform the AIR, the investor gets lower payouts than expected.

Putting money into (and receiving money from) annuities

Investors have choices when purchasing annuities and getting distributions. Investors may choose a lump-sum payment or multiple payments, depending on their needs. Investors also have a choice regarding how they want to get their distributions at retirement.

The pay-in (accumulation) phase

Payments into both fixed and variable annuities are made from after-tax dollars, meaning that the investor can't write the payments off on their taxes. However, payments into both fixed and variable annuities grow on a tax-deferred basis. (They aren't taxed until the money is withdrawn.) If an investor has contributed $80,000 into a variable annuity that's now worth $120,000, the investor is taxed only on the $40,000 difference because they have already paid taxes on the contribution. If an annuitant dies during the pay-in phase, most annuity contracts require a *death benefit* to be paid to the annuitant's beneficiary. The death benefit is typically the greater of all the money in the account or some guaranteed minimum.

Note: During the pay-in phase, an investor of a variable annuity purchases *accumulation units.* You can think of the accumulation units as being similar to shares of a mutual fund.

Investors have a few payment options to select when purchasing fixed or variable annuities. Here's the rundown of options:

- **Single payment deferred annuity:** An investor purchases the annuity with a lump-sum payment, and the payouts are delayed until some predetermined date.
- **Periodic payment deferred annuity:** An investor makes periodic payments (usually monthly) into the annuity, and the payouts are delayed until some predetermined date; this is the most common type of annuity.
- **Immediate annuity:** An investor purchases the annuity with a large sum, and the payouts begin right away or within a couple months.

REMEMBER

Most annuities in which investors are making scheduled deposits provide a *waiver of premium* during the pay-in phase if the annuitant becomes disabled or is confined to long-term care.

Getting the payout

Investors of both fixed and variable annuities have several payout options. These options may cover just the *annuitant* (investor) or the annuitant and a survivor. No matter what type of payout option the investor chooses, they will be taxed on the amount above the contribution. The earnings grow on a tax-deferred basis, and the investor is not taxed on the earnings until withdrawal at retirement.

Note: During the payout phase (annuity phase) of a variable annuity, accumulation units are converted into a fixed number of *annuity units.* Investors receive a fixed number of annuity units periodically (usually monthly) with a variable value, depending on the performance of the securities in the separate account.

The kind of annuity (fixed or variable) and the payout options selected partly determines the payment amounts to the annuitant. So, when purchasing an annuity, the individual has to decide which of the following payout options works best for them:

- **Life (straight life) annuity:** This type of payment option provides income for the life of the *annuitant* (the individual covered by the annuity); however, after the annuitant dies, the insurance company stops making payments. This type of annuity is riskiest for the investor because if the annuitant dies earlier than expected, the insurance company gets to keep the leftover annuity money. Because it's the riskiest type of annuity for the annuitant, it has the highest payouts of all the options. As with joint life with last survivor annuities, life annuity payment amounts are based on the age and sex of the annuitant(s).
- **Life annuity with period certain:** This payout option guarantees payment to the annuitant for a minimum number of years (10, 20, and so on). For example, if the annuitant were to purchase an annuity with a 20-year guarantee and die after 7 years, a named beneficiary would receive the payments for the remaining 13 years.
- **Joint life with last survivor annuity:** This option guarantees payments over the lives of two individuals. As you can imagine, this type of annuity is typically set up for a spouse. If the wife dies first, the husband receives payments until his death. If the husband dies first, his wife receives payments until her death. Because this type of annuity covers the lifespans of two individuals, it has the lowest payouts.

REMEMBER

All annuities have a *mortality guarantee.* This guarantee means that the investor receives payments as long as they live, even if it's beyond their life expectancy.

Being mindful of the early withdrawal penalty

As with most other retirement plans, annuity investors are hit with a 10 percent early withdrawal penalty if they withdraw the money before age 59½. Yes, that's correct — the 10 percent penalty is added to the investor's tax bracket. Typically, annuities include a waiver of the 10 percent penalty in cases such as the need to cover long-term care expenses, death, or disability.

Understanding the Investment Component of Variable Life Insurance Products

You may wonder what life insurance is doing in the SIE, which is mainly about investments. Well, the answer is that certain life insurance products (specifically, *variable life* [VLI] and *variable universal life* [VUL]) have an investment component. Like variable annuities, variable life and variable universal life insurance policies have a separate account for investing. That separate account is kept separate from the insurance company's general fund. You won't need to know too much about the aforementioned insurance products, so I'll keep it brief.

REMEMBER

Persons selling variable annuities, variable life insurance, and variable universal life insurance must have not only an appropriate securities license but also an insurance license. Before recommending any of the previously mentioned products, you should do an analysis of the client's needs and make appropriate recommendations.

Variable life

Variable life policies have a fixed premium. As with variable annuities, the investor chooses the investments held in a separate account. The death benefit (face amount) on the policy is fixed to a minimum but not to a maximum. The death benefit may increase depending on the performance of the securities held in the separate account. If the separate account performs poorly, there may be limited or no cash value built up. Policyholders may borrow up to 75 percent of the cash value.

Variable universal life

Unlike variable life policies, variable universal life policies do not have fixed premiums. As such, they are sometimes called flexible premium variable life policies. As with variable life policies, the investors can pick the securities held in the separate account. In this case, since the premium is not fixed and the securities held in the separate account may perform poorly, the minimum death benefit and cash value are not guaranteed.

TIP

Variable annuities, variable life insurance, and variable universal life insurance may be referred to as *variable contracts* on the exam.

Testing Your Knowledge

This chapter touched base with some basics about different types of investment companies, annuities, life insurance, and so on. There are 15 questions here, so go ahead and see how you do. Good luck!

Practice questions

1. Which of the following is TRUE of mutual funds?

   I. They are a one-time offering of new securities.

   II. The issuer continuously offers new shares.

   III. Shares must be sold in the market.

   IV. Shares are redeemed with the issuer.

   (A) I and III

   (B) I and IV

   (C) II and III

   (D) II and IV

2. For an investment company to be considered diversified, what is the maximum percentage of outstanding shares that the investment company can own of another company?

   (A) 1 percent

   (B) 5 percent

   (C) 10 percent

   (D) 15 percent

3. A fund that uses leverage, options, short sales, as well as other speculative investment strategies in an attempt to maximize gains is called a

   (A) balanced fund

   (B) growth fund

   (C) aggressive growth fund

   (D) hedge fund

4. Which of the following is TRUE about a letter of intent?

   I. It remains in effect for 13 months.

   II. It may be backdated for up to 90 days.

   III. Shares may be held in escrow.

   (A) I and II

   (B) I and III

   (C) II and III

   (D) I, II, and III

5. What is the maximum sales charge for a mutual fund?

   (A) 8 percent, which is built into the public offering price

   (B) 8 percent, which is added to the public offering price

   (C) 8½ percent, which is built into the public offering price

   (D) 8½ percent, which is added to the public offering price

6. Which of the following is exempt from the Investment Company Act of 1940?

(A) Mutual funds

(B) Closed-end funds

(C) Fixed annuities

(D) Variable annuities

7. Which of the following is true of private-equity funds?

I. They are exempt from SEC registration.

II. They must be registered with the SEC.

III. They may purchase private companies.

IV. They may not purchase private companies.

(A) I and III

(B) I and IV

(C) II and III

(D) II and IV

8. A _______________ fund only invests in a specific industry.

(A) Sector

(B) Hedge

(C) Balanced

(D) Growth or aggressive growth

9. Open-end funds may issue

(A) common stock

(B) preferred stock

(C) bonds

(D) all of the above

10. TUV Balanced Fund has a net asset value of $21.40 and a public offering price of $22.60. What is the sales charge percent?

(A) 5.15 percent

(B) 5.30 percent

(C) 5.60 percent

(D) 5.66 percent

11. FerdCo Communications Fund has a NAV of $14.20 and a POP of $15.02. FerdCo offers breakpoints for large dollar purchases. If FerdCo is only charging a 4 percent sales charge for purchases between $20,000 and $30,000, how many shares would Smith receive if purchasing $25,000 worth?

(A) 1,597.225 shares

(B) 1,662.882 shares

(C) 1,664.447 shares

(D) 1,690.331 shares

12. Which of the following can be purchased on margin?

(A) ETFs
(B) Mutual fund Class A shares
(C) Life-cycle funds
(D) Money market funds

13. All of the following are ways a variable annuity can be purchased EXCEPT

(A) immediate annuity
(B) payment deferred immediate annuity
(C) sngle payment deferred annuity
(D) periodic payment deferred annuity

14. Which of the following life insurance products has a fixed premium?

(A) Variable life
(B) Variable universal life
(C) Both (A) and (B)
(D) Neither (A) nor (B)

15. Which of the following are TRUE about variable annuities?

I. Investors purchase accumulation units during the pay-in phase.
II. Investors purchase annuity units during the pay-in phase.
III. If the performance of the securities held in the separate account exceeds the assumed interest rate, payouts increase.
IV. Payments to variable annuities are made from pretax dollars.

(A) I and III
(B) I, III, and IV
(C) II and III
(D) II, III, and IV

Answers and explanations

1. **D.** Mutual funds are open-end funds. Mutual fund issuers continuously offer new shares. Holders sell their shares by redeeming them with the issuer. By contrast, the issuer of a closed-end fund would sell the securities once, and then they would be traded in the market.

2. **C.** According to the Investment Company Act of 1940, out of the 75 percent that must be diversified, a diversified investment company may not own more than 10 percent of outstanding shares of another company. In addition, the investment company cannot invest more than 5 percent of its diversified assets into one issuer's securities.

3. **D.** Hedge funds are the most speculative (riskiest) type of fund. Hedge funds are available to accredited investors and are allowed to execute trades that other funds cannot.

4. **D.** Letters of intent allow mutual fund investors to receive a breakpoint (discounted sales charge for large dollar purchases) right away as long as they purchase enough of the fund within 13 months to receive the breakpoint. It may be backdated for up to 90 days so that the 13-month period can apply to a previous purchase. The issuer may hold shares in escrow to make sure the investor lives up to the terms of the letter of intent.

5. **C.** The maximum sales charge for a mutual fund is 8½ percent of the amount invested. This means that investors make their purchase at the public offering price, which already has the sales charge built in.

6. **C.** Fixed annuities are not considered investment companies since the payout is guaranteed by the issuing insurance company.

7. **A.** Private-equity funds are only available to sophisticated (accredited) investors and are exempt from SEC registration. As part of their investment strategy, they may purchase private companies and/or purchase enough shares of public companies to gain control.

8. **A.** Sector funds invest in specific industries, such as automotives, pharmaceutical, energy, technology, and so on.

9. **A.** Open-end (mutual) funds may only issue common stock. Conversely, closed-end funds may issue common stock, preferred stock, and bonds.

10. **B.** With mutual funds, the sales charge is built into the public offering price (POP), so you have to subtract the net asset value (NAV) from the POP and then divide that by the POP. Check out the following equation:

$$\text{sales charge} = \frac{\text{POP} - \text{NAV}}{\text{POP}} = \frac{\$22.60 - \$21.40}{\$22.60} = \frac{\$1.20}{\$22.60} = 5.3\%$$

11. **D.** Because this investor is depositing enough to receive a breakpoint, the investor will not be paying the regular POP (public offering price). So, to determine what this investor will be paying per share, you have to calculate their POP. Look at the following equation:

$$\text{POP} = \frac{\text{NAV}}{100\% - \text{sales charge}} = \frac{\$14.20}{100\% - 4\%} = \frac{\$14.20}{96\%} = \$14.79 \text{ per share}$$

Okay, you got the difficult part of the question completed. Now all you have to do is divide the dollar purchase by Smith's cost per share. Don't let the fact that you may end up with fractional shares confuse you because you're allowed to purchase fractional shares of mutual funds.

$$\frac{\$25{,}000\text{ invested}}{\$14.79\text{ per share}} = 1{,}690.331\text{ shares}$$

12. **A.** ETFs (Exchange-Traded Funds) can be purchased on margin, which provides investors with a leveraged position with increased risk. All of the other choices listed must be paid for in full. Since mutual funds are new securities, they may not be purchased on margin but are marginable after being held for 30 days.

13. **B.** (A), (C), and (D) are all possible ways of purchasing a variable annuity. However, an insurance company is not going to let you collect on an annuity when not a single payment has been made, as stated in (B).

14. **A.** Variable life insurance has a fixed premium, and the death benefit is fixed as to a minimum but not a maximum. If the securities held in the separate account outperform the expected return, the death benefit increases. Unlike variable life, variable universal life has a flexible premium. In this case, if the securities held in the separate account underperform, the death benefit and cash value are not guaranteed.

15. **A.** Looking at all of the answer choices, you see that III has to be true because it's in all of the answers. When an investor purchases an annuity, they're purchasing accumulation units. During the payout phase, the accumulation units are converted into annuity units. Unlike many retirement plans, purchases of annuities are made from after-tax dollars — in other words, they can't be written off on your taxes.